

This is a very good opportunity, but you should **not** try to “present the model” in full. In 30 minutes, your goal is to get him to react to the **research question and modeling choice**, not to debug all equations.

Born is especially relevant because his current work includes monetary unions and uncertainty. His “Anchored in Troubled Waters” project argues that a monetary union dampens country-specific uncertainty shocks by providing a nominal anchor, while leaving common uncertainty shocks largely unchanged. That is very close to your question: how does the monetary regime interact with uncertainty propagation? (本杰明·博恩)

I would structure the 30 minutes like this.

1. First 5 minutes: give the idea, not the model

Say something like:

I am trying to build a production-network model in which firm-level or sector-level uncertainty shocks affect the macroeconomy through a working-capital/financial-friction channel. The starting point is La'O and Tahbaz-Salehi's production-network monetary-policy framework. I want to add uncertainty shocks, following Alfaro, Bloom, and Lin or Arellano, Bai, and Kehoe, and a financial-friction block in the spirit of Jermann and Quadrini. The question is: when uncertainty shocks are heterogeneous across sectors, how should optimal monetary policy respond once production-network linkages propagate the shock?

Then stop. Do not immediately explain all equations.

The key phrase I would use is:

sectoral uncertainty shocks $\rightarrow$ credit/working-capital wedges $\rightarrow$ network propagation $\rightarrow$ optimal monetary policy.

That is the whole paper in one line.

2. Next 10 minutes: tell him the modeling fork you are stuck on

This is where he can actually help.

I would say:

My earlier version treated productivity uncertainty as affecting expected working-capital needs and therefore pricing. But I am now realizing that the timing and the financial constraint must be handled carefully. If prices are preset before the level shock realizes, then firms choose prices under uncertainty. After productivity realizes, goods-market clearing and the working-capital condition pin down realized borrowing. The question is whether I should model the borrowing constraint as a hard state-by-state credit limit, which creates rationing/default states, or instead use it as a reduced-form lending-condition/loan-rate wedge.

This is a **great question** for him because it is conceptual, not just algebraic.

Ask directly:

In a production-network monetary model, would you find it acceptable to put financial frictions into the price-setting block as a working-capital wedge, without explicitly modeling credit rationing states? Or would you think the borrowing constraint must be modeled as a hard quantity constraint once realized borrowing exceeds capacity?

That is probably your most important question.

3. Next 10 minutes: ask the optimal monetary policy question

You should connect to La'O and Tahbaz-Salehi, but make your departure clear.

La'O and Tahbaz-Salehi study optimal monetary policy in a production network where sectoral price distortions and network positions matter; the NBER description says the paper studies optimal monetary policy in a multisector economy with firms buying and selling intermediate goods over a production network. (国家经济研究局)

Your question is different:

In La'O and Tahbaz-Salehi, the policymaker cares about stabilizing the right network-weighted price/wage objects because markups and input-output positions generate inefficient relative price dispersion. In my project, uncertainty also changes financial wedges. Then the relevant stabilization target may not only be price dispersion; it may be network-weighted financial tightness or uncertainty-induced working-capital wedges.

Then ask him:

Do you think the optimal monetary policy result should be framed as a modified divine coincidence failure? That is, stabilizing aggregate inflation or the price index may fail because uncertainty shocks create heterogeneous financial wedges across network positions.

This is much more interesting than asking “how does uncertainty shape optimal monetary policy?” The latter is too broad. Ask about the **target**:

Should the central bank stabilize prices, output gaps, financial wedges, or network-adjusted wedges?

A sharper question:

If uncertainty shocks are sector-specific and propagate through input-output linkages, should optimal policy lean more against shocks to upstream sectors than downstream sectors, even if their direct output shares are similar?

That is probably the cleanest “production network” question.

4. Last 5 minutes: ask for adjacent research directions

Since Born's current/recent research spans business cycles, monetary policy, expectations, and monetary unions, and his profile lists work on uncertainty and monetary unions, he may be especially useful for the open-economy angle. (本杰明·博恩)

Ask one or two, not five.

Good question:

Do you think the more promising application is a closed-economy optimal monetary policy problem, or an open-economy/monetary-union version where sectoral uncertainty shocks differ across countries and propagate through cross-border production networks?

Another good one:

If I want to connect this to financial cycles or credit cycles, would you recommend starting from firm-level borrowing constraints, bank balance sheets, or sectoral external finance dependence?

This invites him to suggest a tractable path.

What not to do

Do not spend the meeting apologizing for the previous wrong model. Say only:

I had an earlier version, but after reading these papers I realized the timing and financial block should be rebuilt more carefully.

That sounds mature, not confused.

Also do not show him the full pricing FOC unless he asks. Your formula is complex, and he may spend the whole meeting on one term. Instead, show the mechanism diagram and the key modeling fork.

The exact 30-minute plan

I would prepare one page, not slides.

Page title: “Uncertainty, Working Capital, and Optimal Monetary Policy in Production Networks”

Then four blocks:

Question

How should monetary policy respond to sectoral uncertainty shocks in a production network?

Mechanism

$$\sigma_{i,t} \uparrow \Rightarrow \text{credit wedge} \uparrow \Rightarrow p_{i,t} \uparrow \Rightarrow \text{network} \Rightarrow \pi\text{-}y \text{ tradeoff.}$$

Ingredients

La’O and Tahbaz-Salehi: network monetary-policy target. Alfaro, Bloom, Lin / Arellano, Bai, Kehoe: uncertainty-finance channel. Jermann and Quadrini: borrowing constraint / financial shock discipline. Kopytov et al.: timing and uncertainty before production decisions.

Questions for him

1. Should the financial friction be a price-setting wedge or a hard quantity/rationing constraint?
2. What is the right optimal-policy target: inflation, output gap, or network-weighted financial wedges?
3. Is the best application closed economy, monetary union, or cross-border production networks?

My strongest recommendation: make question 1 the central one. If you get a clear answer on that, your model will move forward a lot.